

Where every dollar of cost goes

Operating expenses are built from five parts and the cost of revenue from eight components. Nothing is a percentage of revenue except where it should be, and each part is calculated from the headcount, the customers or the build that drives it.

\$23.3M	\$23.6M	77.6%	47
OPERATING EXPENSES IN 2031	COST OF REVENUE IN 2031	GROSS MARGIN IN 2031	PEOPLE AT THE END OF THE PLAN

1 Operating expenses, in five parts

Part	2026	2027	2028	2029	2030	2031	Six year
Team, after credits	\$110,221	\$990,472	\$2,570,135	\$4,212,294	\$5,602,205	\$7,119,395	\$20,604,722
External engineering and build	\$210,000	\$615,000	\$1,097,590	\$1,520,348	\$1,594,299	\$1,699,154	\$6,736,391
Sales and marketing	\$0	\$423,788	\$1,968,132	\$4,894,049	\$8,306,956	\$11,604,711	\$27,197,636
Operating overhead	\$78,250	\$337,500	\$527,480	\$737,739	\$894,672	\$1,115,535	\$3,691,176
Contingency reserve	\$79,694	\$426,017	\$924,500	\$1,363,732	\$1,639,813	\$1,723,104	\$6,156,860
TOTAL OPERATING EXPENSES	\$478,165	\$2,792,777	\$7,087,837	\$12,728,162	\$18,037,944	\$23,261,900	\$64,386,786

Legend. The contingency reserve is a real line rather than a rounding: it runs at a share of the four parts above it, so a plan that grows carries a reserve that grows with it. The workbook fails a check if these five do not add to the total. Source: the master pro forma, base case, Canadian dollars.

Nothing here is a percentage of revenue except where it should be.

Team cost follows the headcount plan. Development follows a base price a month. Overhead is a fixed amount plus a driver. Only sales and marketing and the contingency reserve move with revenue, and both are named as such.

Cost of revenue, above the gross margin line

Three groups, eight components underneath them, and the reason the margin rises is in the mix rather than in the price of anything.

Component	2026	2027	2028	2029	2030	2031	Six year
Platform, five components	\$0	\$263,203	\$1,556,599	\$4,443,749	\$8,171,569	\$12,070,580	\$26,505,700
Services delivery	\$0	\$975,865	\$2,914,450	\$4,745,556	\$4,588,325	\$4,791,768	\$18,015,964
Support, security and partner delivery	\$0	\$147,394	\$871,695	\$2,488,499	\$4,576,079	\$6,759,525	\$14,843,192
TOTAL COST OF REVENUE	\$0	\$1,386,462	\$5,342,745	\$11,677,804	\$17,335,972	\$23,621,873	\$59,364,856

Legend. Hosting, feed access, evidence storage, retrieval and restore testing make up the platform group. Services delivery is 55 per cent of the services fee, which is the highest delivery cost on any line in the plan.

2 Why the gross margin rises

It is not because anything gets cheaper

The platform cost per customer falls a little as volume grows, but the whole of the improvement in the margin comes from the mix.

Services fall as a share of revenue

They carry 55 per cent delivery cost. In 2027 they are a third of revenue and by 2031 they are six and a half per cent, so the blended margin rises with almost no change in the underlying rates.

The reconstruction wedge decays

Evidence reconstruction is the most delivery heavy line in the plan and it is designed to expire, which lifts the margin as it goes.

The recurring lines carry the platform rate

Once a customer is connected, the second and third line sold to them arrive at close to the platform cost, which is why the lines sold alongside the subscription matter more to the margin than to the headline.

77.6 per cent in 2031, from 64.3 per cent in 2027.

Across the whole plan the margin is 75.7 per cent, and the single figure that would move it is how long an implementation takes. That is the one number in this folder that cannot be modelled, only observed.

The team, and what it costs after the credits

Pay is calculated from a blended cost per person, a yearly rise and the headcount below. No salary is typed anywhere in the model.

Line	2026	2027	2028	2029	2030	2031	Six year
Team pay	\$177,500	\$1,065,000	\$2,559,550	\$4,142,814	\$5,430,853	\$6,792,446	\$20,168,163
Benefits and payroll taxes	\$31,950	\$191,700	\$460,719	\$745,707	\$977,554	\$1,222,640	\$3,630,269
Federal research credit	(\$59,538)	(\$181,519)	(\$321,524)	(\$494,801)	(\$604,651)	(\$688,993)	(\$2,351,025)
Alberta innovation employment grant	(\$39,692)	(\$84,709)	(\$128,610)	(\$181,427)	(\$201,550)	(\$206,698)	(\$842,685)
TOTAL TEAM COST	\$110,221	\$990,472	\$2,570,135	\$4,212,294	\$5,602,205	\$7,119,395	\$20,604,722

Legend. The two credits are netted against team pay rather than shown as income, which is why they are invisible in the operating expense table and why the team line there is lower than the pay line here. Blended cost is \$142,000 a person, rising 3 per cent a year from 2028. Hires start mid year, so a new head costs half a year in the year it arrives.

3 Headcount by role, and the two that are never delegated

Role	2026	2027	2028	2029	2030	2031
Founder and chief executive	1	1	1	1	1	1
Senior engineer, evidence store and time model	1	1	2	3	4	5
Regulatory lead, fractional then full time	1	1	1	2	3	4
Full stack engineers	0	2	3	4	5	6
Implementation and customer success	0	4	8	11	13	16
Sales and partnerships	0	3	8	10	10	11
Finance and operations	0	0	0	1	2	4
TOTAL HEADCOUNT AT YEAR END	3	12	23	32	38	47

Legend. Engineering reaches eleven of the forty seven, and it is the base the research credit is calculated on. The senior engineer line owns the evidence store and the two dates, and that work is never handed to a build partner. The regulatory lead authors and signs every content release and cannot deploy code.

Employed, contracted, and why engineering is deliberately thin

The internal team is small on purpose. Contracted delivery carries the volume and the internal team reviews it.

Line	2026	2027	2028	2029	2030	2031
Headcount at the year end	3	12	23	32	38	47
Of which engineering	1	3	5	7	9	11
Contracted delivery, full time equivalent	1.3	10.4	29.1	52.2	64.2	79.1
TOTAL PEOPLE, EMPLOYED AND CONTRACTED	4.3	22.4	52.1	84.2	102.2	126.1

Legend. Contracted delivery covers support, security, partner delivery and project work. It is the staff number every efficiency figure in this folder is measured against, so revenue a person is not flattered by moving work off the payroll.

4 Separation of duties, which is a control rather than an org chart

The regulatory lead	Authors and signs every content release. Cannot deploy code and cannot approve a customer filing.
The senior engineer	Owns the evidence store, the two dates and the submission binders. Cannot author rule content.
Full stack engineers	Ingest, surface and connectors, reviewed before merge. No production data, ever.
The implementation lead	Configuration only. Cannot change how the underlying data is structured, and cannot approve such a change.
The customer's compliance officer	Signs every reconciliation and every filing. We never sign on a customer's behalf.
The founder	Sets the price, sets what the company will and will not build, and says no. Cannot author content and cannot approve a release alone.

The build, and what the base price buys

External engineering runs on a base price a month that steps once, plus a share of revenue as the duty set widens.

Line	2026	2027	2028	2029	2030	2031	Six year
Development on the base price	\$200,000	\$540,000	\$887,590	\$1,325,348	\$1,474,299	\$1,579,154	\$6,006,391
Security review and penetration testing	\$10,000	\$15,000	\$30,000	\$30,000	\$30,000	\$30,000	\$145,000
Second regulator content and configuration	\$0	\$60,000	\$180,000	\$165,000	\$90,000	\$90,000	\$585,000
TOTAL DEVELOPMENT EXPENSE	\$210,000	\$615,000	\$1,097,590	\$1,520,348	\$1,594,299	\$1,699,154	\$6,736,391

Legend. The base price is \$40,000 a month in 2026 and \$45,000 from 2027. Development falls as a share of revenue from eight per cent to one and a half, because the duty set is finished long before the customer base is. The security review is funded at \$30,000 a year from 2028 and is never run by the team that wrote the code. Nothing is capitalised, so nothing is amortised, and the earnings line is not flattered by moving cost off it.

5 Sales and marketing, and the channel

Line	2026	2027	2028	2029	2030	2031	Six year
Share of new logos through partners	0%	20%	35%	45%	50%	52%	
Channel cost, at a ten per cent margin	\$0	\$35,796	\$370,471	\$1,359,787	\$2,778,333	\$4,235,325	\$8,779,712
Marketing programme	\$0	\$387,992	\$1,597,661	\$3,534,262	\$5,528,622	\$7,369,386	\$18,417,924
TOTAL SALES AND MARKETING	\$0	\$423,788	\$1,968,132	\$4,894,049	\$8,306,956	\$11,604,711	\$27,197,636

Legend. Partners originate a fifth of new logos in 2027 and about half by 2031, and they earn ten per cent of the revenue they bring. Marketing runs at a declining share of revenue, from ten per cent to seven. Salaries for the direct team sit in team cost rather than here, which is why the cost of winning a customer in the unit economics document understates the real figure.

Selling costs about eleven per cent of revenue, in every year of the plan.

It runs from 10.9% in 2027 to 11.0% in 2031, which is inside the thirty per cent band the workbook checks against and flat enough that the plan is not buying its growth.